

CONSTRUCTION AGENCY AGREEMENT

BETWEEN

BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT, AS CONSTRUCTION
AGENT

AND

THE CITY OF BRECKSVILLE, AS LESSEE

DATED

AS OF

OCTOBER____, 2019

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CONSTRUCTION AGENCY AGREEMENT

This CONSTRUCTION AGENCY AGREEMENT, dated as of _____, 2019 (the "Agreement"), by and among BRECKSVILLE-BROADVIEW HEIGHTS CITY SCHOOL DISTRICT, an Ohio City School District as defined in ORC §3311.02 (the "Construction Agent") and the CITY OF BRECKSVILLE, an Ohio City organized under the laws of the State of Ohio and its Charter ("City").

RECITALS:

WHEREAS, CITY and the Construction Agent will contemporaneous with this Agreement, also execute and deliver, in their respective capacities, the Shared Use and Management Agreement dated October 31, 2019 (the "Shared Use Agreement") and together with this Agreement intended to address each parties use of certain shared spaces at the new Elementary School and Field House and related common areas.

WHEREAS, in order to provide for the design, development, acquisition, construction, installation, equipping and improvement of the Project Site, CITY and the Construction Agent, acting as an independent contractor for CITY for such purpose, and consistent with the terms of the Shared Use Agreement, have determined to enter into this Agreement; and

NOW, THEREFORE, in consideration of the foregoing and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Construction Agent and CITY covenant and agree as follows:

ARTICLE I

DEFINITIONS

Section 1.1. Use of Defined Terms. Each capitalized word or term used as a defined term in this Agreement, but not otherwise defined in this Agreement or the Lease, shall have the meaning assigned to it in the Shared Use Agreement, unless the context or use indicates another or different meaning or intent. Those definitions shall be equally applicable to both the singular and plural forms of any of the words and terms herein.

Section 1.2. Interpretation. Any reference to a section or provision of the Constitution of the State or the Act, or to a section, provision or chapter of the Ohio Revised Code or to any statute of the United States of America, includes that section, provision or chapter as amended, modified, revised, supplemented or superseded from time to time; provided that, no amendment, modification, revision, supplement or superseding section, provision or chapter shall be applicable solely by reason of this provision, if it constitutes in any way a limitation, restriction or impairment of the rights or obligations of or the Construction Agent under this Agreement.

Unless the context indicates otherwise, words importing the singular number include the plural number, and vice versa; the terms “hereof”, “hereby”, “herein”, “hereto”, “hereunder” and similar terms refer to this Agreement; and the term “hereafter” means after, and the term “heretofore” means before, the date of execution and delivery of this Agreement. Words of any gender include the correlative words of the other genders, unless the sense indicates otherwise.

Reference to a numbered or lettered Article, Exhibit, Section or subsection means that Article, Exhibit, Section or subsection of or to this Agreement, unless the context indicates a different meaning or intent.

Section 1.3. Captions and Headings. The captions and headings in this Agreement are solely for convenience of reference and in no way define, limit or describe the scope or intent of any Articles, Sections, subsections, paragraphs, subparagraphs or clauses hereof.

Section 1.4. Recitals. The above and foregoing Recitals are incorporated herein and by this reference made a part of this Agreement as if fully set forth herein.

(End of Article I)

ARTICLE II

APPOINTMENT OF THE CONSTRUCTION AGENT

Section 2.1. Appointment. Subject to the terms and conditions hereof, CITY hereby irrevocably designates and appoints the Construction Agent as its exclusive independent contractor in connection with the design, development, acquisition, installation, construction, equipping and improvement of the CITY's Facility being the Field House, Driveways and Parking Lots on the Project Site ~~and the Tennis Courts at City Hall~~ (as defined as approximately 75 acres at Blossom Hills) substantially in accordance with the Plans and Specifications (as defined herein) and pursuant to the terms of this Agreement and the Shared Use Agreement. The preliminary plans and specifications for construction of the CITY Facility are attached to this Agreement as Exhibit A-1 (the "Preliminary Plans and Specifications") and the final plans and specifications for the CITY Facility (the "Final Plans and Specifications") as consented to by the CITY shall amend and replace Exhibit A-1 when completed and submitted to the Construction Agent. The Preliminary Plans and Specifications and the Final Plans and Specifications collectively shall be referred to as the "Plans and Specifications". The Construction Agent shall have sole possession of the CITY Facility during the period of construction from the date of this Agreement first set forth above through and including August 31, 2022 (the "Projected Completion Date") (the "Construction Period") and shall exercise exclusive control over the CITY Facility, all for the purposes of performing its obligations hereunder.

Section 2.2. Acceptance and Undertaking. The Construction Agent hereby unconditionally accepts the appointment provided for herein as an independent contractor for CITY, to act as CITY's exclusive independent contractor for the purpose of the construction, installation, equipping, and improvement of the CITY Facility during the Construction Period substantially in accordance with the Plans and Specifications and pursuant to the terms of this Agreement and the Shared Use Agreement. Notwithstanding anything contained in this Section 2.2, this Construction Agency Agreement is subject to the terms and conditions contained in the Shared Use Agreement and CITY is solely responsible for the planning and design and all costs of construction of the CITY Facility as described in the Shared Use Agreement.

Section 2.3. Term. Subject to any items which specifically survive termination of this Agreement, the Construction Agent's duties under this Agreement shall commence on the date of availability of the funds from the City which shall be no later than February 28, 2020 for its share of the Guaranteed Maximum Price Amendment ~~the Bank~~ and terminate upon the delivery of an occupancy permit for the CITY Facility has been issued by the applicable Governmental Authority ("Project Completion Date").

Section 2.4. Scope of Authority and Duties of Construction Agent.

(a) Subject to the terms of this Agreement and the Shared Use Agreement, CITY hereby expressly authorizes the Construction Agent, or the Construction Manager (as defined below), agent or contractor of the Construction Agent, and the Construction Agent unconditionally agrees, for the benefit of and as the agent of CITY, to, at its own discretion, take all action necessary or desirable for the design, development, acquisition, construction, installation, equipping and improvement, in a good and workmanlike manner, of the CITY Facility in name of

CITY and on behalf of CITY, pursuant to and ~~substantially~~ in accordance with the Plans and Specifications and the Shared Use Agreement, and for the performance and satisfaction of any and all of the Construction Agent's or of CITY's obligations under any contract with a Construction Manager entered into by the Construction Agent with the consent of CITY (a "Construction Contract") and any architects or engineers hired and identified by the District to fulfill all of the obligations of the Construction Agent hereunder and the Shared Use Agreement, including without limitation:

(i) all design and supervisory functions relating to the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility and performance of all architectural and engineering work related thereto;

(ii) negotiation and performance of the obligations of CITY under all contracts and arrangements for design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility on such terms and conditions as are customary and reasonable in light of local and national standards and practices;

(iii) negotiation and performance of the obligations of CITY under all contracts and arrangements to procure all materials and equipment necessary for the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility;

(iv) obtaining all necessary permits (other than wetland permits which shall be the City's sole responsibility), licenses, consents, approvals, entitlements and other authorizations required under applicable laws, including without limitation applicable environmental laws, if any, from each Governmental Authority in connection with the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility substantially in accordance with the Plans and Specifications, and all of the foregoing required for the use and operation of the CITY Facility by CITY;

(v) maintaining all books and records with respect to the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility;

(vi) performance of all other acts necessary in connection with the design, development, acquisition, construction installation, equipping and improvement of the CITY Facility in accordance with the Plans and Specifications and within the Cost Budget (as defined below) established by the Parties, and as may be guaranteed in any Construction Contract by the Construction Manager.

(b) Subject to the terms and conditions of this Agreement and the Shared Use Agreement, the consultative and approval provisions of the Shared Use Agreement during the Construction Period, the Construction Agent shall have sole management and control over, and responsibility for, the Project Site and design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility, the testing, means, methods, sequences and procedures with respect thereto, and the security of the Project Site and the CITY Facility.

(c) The Construction Agent shall obtain and pay for any and all permits (other than wetlands permits) and bonds required to be obtained before commencement of the construction of

the CITY Facility (the “Work”) and for all other permits, governmental fees, sales taxes and use taxes, if any, licenses and inspections necessary for the proper execution and completion of the Work as and when the same are required to be obtained. A Notice of Commencement in proper form as provided in the Ohio Revised Code shall be prepared and maintained by the Construction Agent prior to the commencement of the Work.

Section 2.5. Delegation of Duties. The Construction Agent may execute any of its duties under this Agreement by or through agents, contractors, employees or attorneys-in-fact; provided, however, that no such delegation shall limit or reduce in any way the Construction Agent’s duties and obligations under this Agreement.

Section 2.6. Fees. For its services as an independent contractor for CITY, the Construction Agent shall be compensated through the various land swaps and arrangements described in the Land Swap~~Real Estate Transfer~~ Agreement and Shared Use Agreement.

(End of Article II)

ARTICLE III

THE CITY FACILITY

Section 3.1. Use of Amounts in the CITY Facility Fund. Prior to the later of February 28, 2020 or to the execution of the Guaranteed Maximum Price Amendment, the City shall pay its share of costs thereunder to the District. The amounts ~~deposited from time to time and~~ held by the District of City Funds to fund the construction of the CITY Facility ~~(other than the Tennis Courts at City Hall which shall be paid for solely by the District)~~ (the "CITY Facility Fund") shall be applied to pay all amounts paid or payable by Construction Agent within the categories encompassed by the line items of the Cost Budget, the Approved Construction Documents (as defined below) and any other agreements relating to the CITY Facility which have been approved by CITY and shall also include, in any event, all costs of designing, constructing, permitting, equipping and completing the CITY Facility, including without limitation all other costs of construction, taxes, if any, insurance, fees for architects, engineers and other consultants and other related expenses (collectively, the "Allowable Costs") permitted to be paid or reimbursed. The preliminary Cost Budget is attached to this Agreement as Exhibit A-2 (the "Preliminary Cost Budget") and shall be amended and replaced by the final Cost Budget (the "Final Cost Budget") upon final agreement between the Construction Agent and Construction Manager and after approval and written consent of such Cost Budget by the CITY. The Preliminary Cost Budget and the Final Cost Budget collectively shall be referred to herein as the "Cost Budget". In no event shall construction commence on the CITY Facility unless either the Final Cost Budget is approved and consented to by all parties or the CITY has agreed to its share of costs of a Guaranteed Maximum Price Amendment to the CM's contract.

Section 3.2. Performance of and Payment for Costs of the CITY Facility. The Construction Agent shall undertake to cause the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility on CITY's behalf, as appropriate, in accordance with the provisions of this Agreement and, subject to the provisions hereof, shall pay all amounts required to design, develop, acquire, construct, install, equip and improve the CITY Facility on CITY's behalf, as appropriate, ~~substantially~~ in accordance with the Plans and Specifications and the Cost Budget. Pursuant to Article IV, the Construction Agent shall pay for Allowable Costs and costs of the CITY Facility using amounts made available by the City. Each request by the Construction Agent for disbursement of funds shall be deemed (solely as between Construction Agent and the CITY) to be a conclusive acknowledgment and admission by the Construction Agent, individually, that, with respect to such aspect of the Work with respect to which such request relates, and all prior aspects of the Work, the Construction Agent will not require the CITY to remedy such Work. The Construction Agent shall be obligated to complete the constructing, installing, equipping, and improving of the CITY Facility substantially in accordance with the Plans and Specifications notwithstanding any delays or unforeseen circumstances with respect to the designing, developing, acquiring, installing, constructing, equipping, and improving of the CITY Facility, including, without limitation, a Force Majeure Event, unless such delay is caused by the negligence or willful misconduct of CITY or any employee or agent of CITY; provided, however, the Construction Agent's obligation shall not exceed the amount funded into the CITY Facility Fund. For purposes of this Agreement, "Force Majeure Event" shall mean any natural disaster, fire, earthquake, floods, explosion, extraordinary adverse weather conditions, inability to procure or a general shortage of labor, equipment, facilities, energy, materials or supplies in the

open market, failure of transportation, strikes or lockouts or other events, or circumstances not within the reasonable control of any party.

Section 3.3. Reports. The Construction Agent shall provide to CITY monthly reports and pay requests received from the Construction Manager and such other detail and information related to such reports and requests as CITY may reasonably request from time to time. The Construction Agent shall also certify in writing to CITY the aggregate total of all Allowable Costs and costs of designing, developing, acquiring, constructing, equipping, and improving the CITY Facility incurred through the Project Completion Date within one hundred eighty (180) days after the Project Completion Date, except it shall be one (1) year after the Project Completion Date for site work and workmanship related issues.

Section 3.4. Recovery on Contractor Warranties. The Construction Agent shall assist the CITY, to negotiate, accept and prosecute any claim for damages, compensation or other recoveries due from the Construction Manager (as defined below) and any other contractors or subcontractors based on a breach of contract or breach of warranty (whether express or implied). The CITY shall be responsible for any costs incurred by the Construction Agent to negotiate, accept or prosecute such claims, damages, compensation or other recoveries to the extent any such costs are not covered by the insurance or any recovery from such collection efforts. To the extent the Construction Agent receives any proceeds of such collection efforts, the Construction Agent shall transfer any proceeds received on account of such collection efforts, net of any costs incurred by the Construction Agent in prosecuting such claim, to CITY.

Section 3.5. Approved Construction Documents. The Plans and Specifications and the Cost Budget will be developed to the extent necessary to commence construction of the CITY Facility. Said documents, together with amendments or additions thereto, together with a Construction Contract are called the "Approved Construction Documents". No material modifications to the Cost Budget and Plans and Specifications will occur during construction without the CITY's written consent.

Section 3.6. Limits on Change in Construction Manager. The Construction Agent has hired Shook Construction as the construction manager at risk through the process applicable to the Construction Agent under local, state or federal law (the "Construction Manager"). The parties hereto agree that the Construction Manager will initially serve as the Construction Manager at Risk for the CITY Facility. In the event that the Construction Agent cannot agree to terms with the Construction Manager on a guaranteed maximum price, then Construction Agent may pursue such other options as are available to the Construction Agent under applicable law. Upon identification of a new contractor or construction manager at risk, the Construction Agent will notify the CITY.

Section 3.7. Limits on Change in Approved Construction Documents or Cost Budget.

(a) Changes To Plans and Specifications; Contracts. No subsequent amendment to, or change in, any one or more of the Plans and Specifications for the CITY Facility shall be made by the Construction Agent without prior written consent of CITY; ~~provided, however, that no such prior written consent is required for any change or amendment if (a) Construction Agent has obtained the approval of all parties whose approval is required, including, but not limited to, any Governmental Authority to the extent approval from such parties is required; (b) the structural~~

~~integrity of the CITY Facility is not impaired; (c) no material change in architectural appearance of the CITY Facility is effected; and (d) the performance of the mechanical, electrical, and life safety systems of the CITY Facility is not materially affected.~~

(b) Changes to Cost Budget. Until the Final Cost Budget is approved, consented to and received by the parties, no change to the Preliminary Cost Budget shall be made by the Construction Agent without the prior written consent of the CITY.

(c) Changes To Work Schedule. The Construction Agent may change the proposed schedule of the Work, which is attached to this Agreement as Exhibit A-3 (the “Proposed Schedule”) as reasonably required so long as such changes will not cause completion of the CITY Facility to go beyond the Projected Completion Date.

(End of Article III)

ARTICLE IV

CONSTRUCTION OBLIGATIONS AND COVENANTS

Section 4.1. Covenants of the Construction Agent. During the Construction Period (and, where indicated, thereafter), solely for the benefit of CITY, the Construction Agent shall:

(a) cause the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility within the boundaries of the Project Site and cause such design, development, acquisition, construction, installation, equipping and improvement to be prosecuted in a good and workmanlike manner, and substantially in accordance with (i) the Construction Contract, (ii) the Plans and Specifications, (iii) prevalent industry practices and (iv) all applicable laws;

(b) cause design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility on or prior to the Projected Completion Date;

(c) use its ~~best~~reasonable efforts to cause all material outstanding punch list items with respect to the construction, installation, equipping and improvement of the CITY Facility to be completed on or prior to the Projected Completion Date;

(d) use its ~~best~~reasonable efforts to cause title to the CITY Facility to be and remain, during the Construction Period and on the Project Completion Date, free from and clear of all liens, claims, and encumbrances, except for ~~(i) those created by or arising under the Operative Documents,~~ (ii) real estate taxes and assessments that are a lien but not yet due and payable, (iii) liens or claims for materials supplied or labor or services performed in connection with the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility that are bonded-off or otherwise removed in accordance with applicable laws within 30 days of the filing of such lien and in any event prior to the commencement of an action to foreclose on such lien, and ~~(iii)~~iv) any Permitted Encumbrances or other liens or exceptions that are approved in writing by CITY;

(e) make available for inspection at the Construction Agent's office by a duly authorized representative of CITY during normal business hours, any of the Construction Agent's books and records insofar as they relate solely to the CITY Facility at such times as reasonably requested by CITY ~~or Bank~~ when requested to do so;

(f) not purchase or acquire under any conditional sales contract or security agreement or any lease agreement, any personal property of any kind intended to be incorporated into the CITY Facility or paid for with the proceeds of City Funds and apply the proceeds of City Funds available for such purpose to pay in full the purchase price of personal property before payment therefor becomes past due or, in any event, within 90 days after delivery thereof; provided, however, the foregoing shall not apply to amounts withheld and unpaid on account of bona fide disputes with the suppliers thereof;

(g) allow CITY and their respective representatives, at all times during normal business hours, the right of entry and free access to the CITY Facility to inspect all work done, labor performed and materials furnished in and about the CITY Facility;

(h) during the Construction Period, obtain, or cause the Construction Manager to obtain and maintain the insurances described in the General Conditions to the Construction Contract

All insurance policies (except Workers Compensation Insurance) shall name the Construction Agent as a named insured and CITY as additional insureds. All property insurance policies shall also list Bank as a mortgagee. The Construction Agent shall deliver to CITY prior to the Closing Date, a certificate of insurance evidencing Construction Manager's insurance. Certificates of insurance for renewals shall be deposited with CITY as evidence of such insurance. The Construction Agent shall endeavor to cause the Construction Manager to provide for thirty (30) days' written notice to the CITY prior to expiration or cancellation.

(i) in the event of any damage to or destruction of the CITY Facility, or any part thereof, during the Construction Period, to the extent that insurance proceeds (from any and all sources) are not sufficient to cover the full cost of any repair, rebuilding or restoration due to deductible and co-insurance amounts under insurance policies maintained by the Construction Agent, CITY will provide funding, to pay the cost of repair, rebuilding or restoration, subject to other rights or options available to CITY pursuant to this Agreement or the Shared Use Agreement;

(j) notify CITY in writing within ten (10) days of the occurrence of an Event of Default hereunder as to which the Construction Agent has knowledge;

(k) not discriminate against any employee or applicant for employment because of race, religion, color, sex, national origin, disability, age, veteran status, or ancestry in violation of applicable laws, and ensure that applicants for employment are considered for employment and that employees are treated during employment, without regard to their race, religion, color, sex, national origin, disability, age, veteran status, or ancestry as required by Applicable Law;

(l) obtain on a timely basis all utility connections and permits when needed as required by the Plans and Specifications and all utility services for water, gas, electric, telephone, sewer and storm drainage and sanitary waste disposal so that such utility services shall be available to an extent adequate to serve the CITY Facility; and

(m) provide and cause other contracting parties with the District under this Agreement, including the Construction Manager, to provide completed forms and information relating to the Declaration Regarding Material Assistance/Non-Assistance to Terrorist Organization as may be required in accordance with Ohio Revised Code Sections 2909.32 through 2909.34, as may be amended or changed from time to time.

Section 4.2. Force Majeure Event. The Construction Agent shall give CITY written notice within 10 days of the occurrence of any Force Majeure Event with respect to the CITY Facility that has caused, or is reasonably likely to cause a material delay in the Proposed Schedule of Work or Projected Completion Date. Upon the occurrence of a Force Majeure Event, the Construction Agent shall use its good faith efforts to complete the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility, or cause the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility to be completed and within the Cost Budget.

Following an occurrence that constitutes a Force Majeure Event, the Construction Agent shall prepare, as promptly as reasonably practicable, a written estimate of any resulting or reasonably expected material delay of the CITY Facility and shall deliver such estimate to CITY. If a Force Majeure Event should cause a material delay of the CITY Facility, the Projected Completion Date shall be extended for such additional period of time as may be reasonably necessary to cure such Force Majeure Event and to permit expeditious completion of the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility, but in any event for a period ending not later than agreed with the written consent of CITY. If the extent of any material delay of the CITY Facility will not prevent completion of design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility on or prior to the Projected Completion Date (as extended), the Construction Agent shall proceed to cause the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility to be completed and the completion conditions to be satisfied as expeditiously as possible in a commercially reasonable manner under the circumstances pursuant to Article II or the Shared Use Agreement.

Section 4.3. Correction of Work. The Construction Agent represents to CITY that, upon completion of the CITY Facility and acceptance thereof by the Construction Agent, all materials shall be of good quality and all Work shall be of good and workmanlike quality, in conformance with the requirements of the Plans and Specifications in all material respects and as set forth in this Agreement. The Construction Agent shall ensure the Construction Manager (i) promptly correct or cause to be corrected, all of the Work not in material conformance with the Plans and Specifications and this Agreement, and (ii) replace, repair or restore, or cause replacement, repairs or restoration of, any parts of the Work or any of the fixtures, equipment or other items placed therein that are injured or damaged as a consequence of corrective action taken pursuant hereto and shall seek to have the costs and expenses of any such correction paid for by the Construction Manager. Nothing contained in this Section shall be construed to establish a period of limitation with respect to any other obligation of the Construction Agent under this Agreement. The obligations of the Construction Agent hereunder shall survive the termination of this Agreement.

Section 4.4. Certain Warranties and Representations. The Construction Agent warrants and represents to CITY as follows:

(a) Organization and Power. The Construction Agent (a) is an Ohio City School District as defined in ORC §3311.02; and (b) has all power, authority and legal right to carry on its business as now conducted, to execute, deliver and perform its obligations under this Agreement and all other Operative Documents to which it is a party.

(b) Litigation. There is no action, suit or proceeding pending, or to the Construction Agent's knowledge, threatened, against or affecting the Construction Agent at law or in equity before any court, or by or before any federal, state, municipal or other governmental department, commission, board, bureau, agency, or instrumentality or arbitrator which, if adversely decided, could impair the Construction Agent's right to enter into, or ability to comply with, this Agreement or the other Operative Documents to which it is a party or the validity or effectiveness hereof.

(c) No Defaults. To the Construction Agent's knowledge, no Event of Default by the Construction Agent has occurred and is continuing under this Agreement, the Indenture, the other

Operative Documents or any other agreement or document contemplated thereunder to which it is a party.

(d) Cost Budget. The Cost Budget as of the date hereof and attached hereto as Exhibit A-2 sets forth and presents a full and complete representation by the Construction Agent of all estimated costs, expenses and fees which the Construction Agent expects to pay as of the date hereof to complete the CITY Facility on or before the Projected Completion Date, subject to submission of the Final Cost Budget and any amendment or modification in accordance with Sections 3.1 and 3.7 of this Agreement.

(End of Article IV)

ARTICLE V

CASUALTY, CONDEMNATION AND ENVIRONMENTAL EVENTS

Section 5.1. Construction Event of Loss or Casualty.

(a) The Construction Agent shall give CITY written notice of the occurrence of any casualty during the Construction Period promptly following the occurrence thereof. As promptly as practicable, the Construction Agent shall prepare an estimate of the cost of restoring, rebuilding and repairing the related damage and shall deliver such estimate to CITY.

Section 5.2. Construction Event of Taking or Condemnation.

(a) The Construction Agent shall give CITY written notice of the occurrence of any condemnation of all or any part of the CITY Facility during the Construction Period promptly following the occurrence thereof together with a written estimate of the schedule and cost of restoring the CITY Facility and shall deliver such estimate to CITY. If a condemnation of all or any part of the CITY Facility occurs during the Construction Period that, in the good faith judgment of the Construction Agent, (i) renders impossible or impractical the restoration of the remaining portion of the CITY Facility as an architectural unit adequate for the intended use of the CITY Facility, (ii) will not give rise to an award sufficient to pay, together with funds otherwise available for such purpose, any increased costs and expenses of completing the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility pursuant to the Plans and Specifications, as modified to accommodate Changes necessitated by the condemnation, or (iii) will cause a material delay of the CITY Facility such that the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility cannot reasonably be completed before the date required by CITY, whereupon the Construction Agent shall use its commercially reasonable efforts to eliminate the material delay of the CITY Facility.

(b) The Construction Agent shall apply the proceeds of the award to the completion of the CITY Facility and use good faith efforts to cause the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility to be completed prior to the Projected Completion Date; provided that, if and to the extent any surplus of condemnation proceeds remains after completion of the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility, that surplus shall be paid to the CITY.

Section 5.3. Hazardous Materials.

(a) If, in the course of the construction of the CITY Facility the Construction Agent (or the Construction Manager acting on behalf of the Construction Agent) discovers Hazardous Materials or underground storage tanks that are not included in the Work pursuant to the Plans and Specifications, and which are not maintained substantially in accordance with all applicable Environmental Laws, the Construction Agent shall notify or cause CITY to be notified. All Hazardous Materials that may be discovered shall be maintained, removed, transported and

disposed of by qualified contractors substantially in accordance with all applicable state and federal Environmental Laws.

(b) The Construction Agent shall not permit or cause to be permitted a violation of any Environmental Laws to exist with respect to the CITY Facility or the Project Site.

(End of Article V)

ARTICLE VI

EVENTS OF DEFAULT

Section 6.1. Construction Events of Default. An Event of Default arises if any one or more of the following events shall occur (subject to Section 6.1(f) below):

(a) the Construction Agent fails to apply the proceeds of any City Funds or any funds paid to the Construction Agent by or on behalf of CITY, as the case may be, ~~within Ten (10) business days after the receipt of the same~~ in a manner consistent with this Agreement and the Shared Use Agreement ~~and as specified in any applicable Disbursement Request Form, which is attached to this Agreement as Exhibit A-4,~~ to the payment of costs of designing, developing, acquiring, installing, equipping and otherwise improving the CITY Facility;

(b) Construction Agent shall commit or perform any act constituting fraud, misapplication of funds, intentionally illegal acts, or willful misconduct, as conclusively determined by a non-appealable order of a court of competent jurisdiction, which is material to Construction Agent's performance of its material obligations under this Agreement or any other Operative Document to which it is a party;

(c) the design, development, acquisition, construction, installation, equipping and improvement of the CITY Facility are not substantially completed on or before the Projected Completion Date (as may have been extended) taking into account a Force Majeure Event;

(d) the Construction Agent shall fail to maintain or cause to be maintained insurance as required by the provisions of subsection 4.1(j), or the Construction Agent shall fail to perform as required by the provisions of subsection 4.1(k) and such failure continues for thirty (30) Business Days following written notice; or

(e) the Construction Agent shall breach in any material respect (without duplication of materiality qualifiers) any of its representations or warranties under this Agreement or any other Operative Document to which it is a party or shall fail to observe or perform any material term, covenant or condition of this Agreement or any other Operative Document to which it is a party (other than as described in subsections (a) through (d) of this Section 6.1);

(f) in any Event of Default, CITY may, exercise its rights and remedies provided for in this Agreement; provided, in the case of a failure or breach of a covenant described in subsection (e), such failure or breach, shall not constitute an Event of Default so long as the Construction Agent notifies CITY within fifteen (15) days of its intention to cure such failure or breach within sixty (60) days; provided, however, that if such failure is of such a nature that it cannot be corrected within such sixty (60) day period, such failure or default shall not constitute an event of default if the Construction Agent institutes curative action within such sixty (60) day period, diligently pursues such action to completion and cures such failure within an additional 30 days.

Section 6.2. Damages. CITY exercising its remedies under this Agreement pursuant to Section 6.1 shall in no event relieve the Construction Agent of its liability and obligations hereunder, all of which shall survive any such termination.

Section 6.3. Remedies; Remedies Cumulative.

(a) If an Event of Default shall have occurred and be continuing, CITY shall have all other rights available at law, in equity or otherwise, including without limitation the right to require the Construction Agent to complete, or cause to be completed, all or any part of the CITY Facility.

(b) No failure to exercise and no delay in exercising, on the part of a party to this Agreement, any right, remedy, power or privilege under this Agreement, the Lease or the Shared Use Agreement shall operate as a waiver thereof; nor shall any single or partial exercise of any right, remedy, power or privilege under this Agreement preclude any other or further exercise thereof or the exercise of any other right, remedy, power or privilege. The rights, remedies, powers and privileges provided in this Agreement are cumulative and not exclusive of any rights, remedies, powers and privileges provided by law.

(End of Article VI)

ARTICLE VII

CERTAIN RIGHTS

Section 7.1. Cure of the Construction Agent's Defaults. CITY, without waiving or releasing any obligation or Event of Default, may (but shall be under no obligation to) remedy any Event of Default after reasonable written notice to the Construction Agent with respect thereto and reasonable opportunity afforded to the Construction Agent to do and perform the same.

Section 7.2. Further Assurances. CITY and the Construction Agent hereby agree to cooperate in including in this Agreement by suitable amendment from time to time any provision which may reasonably be requested by CITY for the purpose of complying with applicable Ohio laws and regulations.

(End of Article VII)

ARTICLE VIII

MISCELLANEOUS

Section 8.1. Notices. All notices, certificates, requests or other communications hereunder shall be in writing and by first-class mail, postage prepaid, courier service, delivery charges prepaid, e-mail or facsimile transmission (if the sender's system can confirm receipt of the transmission) or delivery addressed to the appropriate notice address set forth below and deemed effective on receipt, with a duplicate copy of such notice to be provided to CITY and the Construction Agent. The Construction Agent, CITY and any other Person to receive notices as provided in the Operative Documents may, by notice given hereunder, designate any further or different addresses to which subsequent notices, certificates, requests or other communications shall be sent. The notice addresses for CITY and; the Construction Agent ~~and the Bank~~ are as follows:

If to Construction Agent or District, to:

Supreintendent of Schools
Brecksville Broadview Heights CSD
6638 Mill Road
Brecksville, OH 44141

~~With a copy to:~~

If to CITY, to:

Mayor
City of
Brecksville
9069
Brecksville
Road
Brecksville,
OH 44141

~~With a copy to:~~

Section 8.2. Successors and Assigns. This Agreement shall be binding upon and inure to the benefit of CITY and their respective successors and the assigns. The Construction Agent may not assign this Agreement or any of its rights or obligations hereunder in whole or in part to any Person other than an affiliate of the Construction Agent without the prior written consent of CITY, which shall not be unreasonably withheld.

Section 8.3. Governing Law. This Agreement and the rights and obligations of the parties under this Agreement shall be governed by, and construed and interpreted in accordance with, the law of the State of Ohio without regard to conflict of laws principles.

Section 8.4. Amendments and Waivers. This Agreement shall not be amended, supplemented or modified except by an instrument in writing executed by CITY and the Construction Agent.

Section 8.5. Counterparts. This Agreement may be executed in any number of counterparts as may be convenient or necessary, and it shall not be necessary that the signatures of both parties hereto be contained on any one counterpart hereof. Additionally, the parties hereto agree that for purposes of facilitating the execution of this Agreement, (a) the signature pages taken from the separate individually executed counterparts of this Agreement may be combined to form multiple fully executed counterparts and (b) a facsimile transmission shall be deemed to be an original signature for all purposes. All executed counterparts of this Agreement shall be deemed to be originals, but all such counterparts taken together or collectively, as the case may be, shall constitute one and the same agreement.

Section 8.6. Severability. Any provision of this Agreement that is prohibited or unenforceable in any jurisdiction shall, as to such jurisdiction, be ineffective to the extent of such prohibition or unenforceability without invalidating the remaining provisions hereof, and any such prohibition or unenforceability in any jurisdiction shall not invalidate or render unenforceable such provision in any other jurisdiction.

Section 8.7. Headings and Table of Contents. The headings and table of contents contained in this Agreement are for convenience of reference only and shall not limit or otherwise affect the meaning hereof.

Section 8.8. No Personal Liability. No recourse under this Agreement shall be had against any equity holder, affiliate, successor, member, manager, officer, director, agent or employee, as such, past, present, or future, of the Construction Agent or CITY; it being expressly understood that this Agreement and the obligations incurred hereunder are solely obligations of the entities named herein as obligors, and that no personal liability whatever shall attach to such persons or any of them, under this Agreement; and that any and all such personal liability of every name and nature, either at common law or in equity or by constitution or statute, of, and any and all such rights and claims against, every such person because of the creation of the obligations hereby authorized, or under or by reason of the obligations, covenants, or agreements contained in

this Agreement are hereby expressly waived and released as a condition of, and as a consideration for, the execution of this Agreement.

Section 8.9. Third Party Beneficiaries. No provision in this Agreement shall be construed to create any third party beneficiaries hereunder.

Section 8.10. Waiver of Certain Claims. To the extent permitted by applicable law and notwithstanding anything in this Agreement or the other Operative Documents to the contrary, no party to this Agreement shall assert, and each such party hereby waives, any claim against any other party, on any theory of liability, for special, indirect, consequential or punitive damages (as opposed to direct or actual damages) arising out of, in connection with, or as a result of, this Agreement or the other Operative Documents or any agreement or instrument contemplated hereby or thereby. The obligations of the parties hereto under this Section shall survive the expiration or termination of this Agreement.

Section 8.11. Limited Liability of Construction Agent. Notwithstanding anything to the contrary herein, the liability of the Construction Agent hereunder shall be limited to amounts advanced from the CITY Facility Fund or otherwise from funds of CITY.

Section 8.12. Entire Agreement. This Agreement, together with the other Operative Documents to which the Construction Agent is a signatory, and any other documents incorporated herein by reference and all related exhibits and schedules, constitutes the sole and entire agreement of the parties to this Agreement with respect to the subject matter contained herein and therein, and supersedes all prior and contemporaneous understandings, agreements, representations and warranties, both written and oral, with respect to such subject matter.

(End of Article VIII)

IN WITNESS WHEREOF, the parties have caused this Agreement to be duly executed and delivered by their proper and duly authorized representatives as of the day and year first above written.

BRECKSVILLE-BROADVIEW HEIGHTS CITY
SCHOOL DISTRICT, AS CONSTRUCTION AGENT

CITY OF BRECKSVILLE, ~~AS LESSEE~~

By:

By:

Name:

Name:

Title:

Title:

SECTION 5705.41
CERTIFICATE OF AVAILABILITY OF FUNDS

The undersigned, Treasurer of the Brecksville-Broadview Heights City School District (the “School District”) hereby certifies in connection with the above Agreement, between the School District and the City of Brecksville certifies that the amount required to meet the contract, obligation, or expenditure for the attached, has been lawfully appropriated for the purpose, and is in the treasury or in process of collection to the credit of the appropriate Fund, free from any outstanding obligation or encumbrance.

IN WITNESS WHEREOF, I have hereunto set my hand this ____ day of _____,
2019.

Brecksville-Broadview Heights CITY SCHOOL
DISTRICT, OHIO

Treasurer

EXHIBIT A-1
PLANS AND SPECIFICATIONS

The Preliminary Plans and Specifications are those plans and specifications prepared by
thendesign architecture, 4135 Erie Street, Willoughby, Ohio 44094, dated
_____, 2019 for Job No. .

EXHIBIT A-2
COST BUDGET

The Preliminary Cost Budget for the CITY Facility is attached.

EXHIBIT A-3
PROPOSED SCHEDULE OF WORK
[TO BE PROVIDED]

